

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 39
JUDICIAL OFFICER: EDWARD G WEIL
HEARING DATE: 11/20/2025

The tentative ruling will become the Court's ruling unless by 4:00 p.m. of the court day preceding the hearing, counsel or self-represented parties email or call the department rendering the decision to request argument and to specify the issues to be argued. Calling counsel or self-represented parties requesting argument must advise all other affected counsel and self-represented parties by no later than 4:00 p.m. of their decision to appear and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (*Local Rule 3.43(2).*)

Note: In order to minimize the risk of miscommunication, parties are to provide an **EMAIL NOTIFICATION TO THE DEPARTMENT OF THE REQUEST TO ARGUE AND SPECIFICATION OF ISSUES TO BE ARGUED**. Dept. 39's email address is: dept39@contracosta.courts.ca.gov. Warning: this email address is not to be used for any communication with the department except as expressly and specifically authorized by the court. Any emails received in contravention of this order will be disregarded by the court and may subject the offending party to sanctions.

Submission of Orders After Hearing in Department 39 Cases

The prevailing party must prepare an order after hearing in accordance with CRC 3.1312. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

Law & Motion

1. 9:00 AM CASE NUMBER: C23-01818
CASE NAME: SHYLA THIERRY VS. BAKEMARK USA LLC
*HEARING ON MOTION IN RE: TO APPROVE SETTLEMENT AGREEMENT
FILED BY: THIERRY, SHYLA
TENTATIVE RULING:

Shyla Thierry moves for approval of the settlement of her PAGA suit against defendant BakeMark USA LLC.

A. Background of the Case and Terms of Settlement

This is a PAGA case, based on a notice to the LWDA given May 22, 2023, alleging a variety of violations of the Labor Code concerning failure to provide rest and meal breaks, failure to pay for off-the-clock work, failure to reimburse business expenses, and cascading derivative violations. The original complaint was filed on July 24, 2023, and remains the operative complaint.

The total settlement payment is \$167,000. This is composed of attorney's fees of \$55,666.67 (one-third of the settlement), litigation costs of up to \$15,000, \$2,960 in costs to the settlement administrator, and \$10,000 to the plaintiff. The remaining amount (\$89,657.28) would be a PAGA penalty, which would be apportioned 75% to the LWDA and 25% to the aggrieved employees, to the aggrieved employees. There are an estimated 80 aggrieved employees.

The payments from the employee share of the penalty will be distributed among the employees based on the number of pay periods each individual worked during the PAGA period.

Plaintiff's counsel attests that they engaged in extensive arms-length settlement negotiations. Informal discovery was undertaken, and the matter was resolved after a session with an experienced mediator. Counsel's declaration provides a general discussion of the strengths and weaknesses of the case, including an estimate of the value of the claims.

Plaintiff provided required notices to the LWDA of the initial claims and of the proposed settlement.

The settlement provides a process for mailing the notices to the aggrieved employees, who will not have to submit a claim, along with a process for following up on returned mail. Because this is a PAGA settlement, not a class action, there is no opportunity to object or opt out.

The settlement provides that the value of checks uncashed after 180 days will be turned over to a cy pres beneficiary, Legal Aid at Work. Counsel attests that they have no "conflict of interest" with Legal Aid at Work. Were this a class action, such a terse statement might not be sufficient to satisfy the requirements of Code of Civil Procedure section 382.4. Since PAGA contains no express provision to that effect, the declaration is sufficient.

The settlement provides that plaintiffs and all aggrieved employees release all claims for PAGA penalties that were alleged, or could have been alleged, based on the facts stated in the Operative Complaint and PAGA notice. Under recent appellate authority, limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

B. Standards for Review of a PAGA Settlement

Settlements in PAGA cases must be approved by the court. (Labor Code § 2699(s)(2).) The Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees[.]" (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th

273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that Neary does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 46, 63.)

C. Application to this settlement

Plaintiff indicates that the settlement is fair and was evaluated by counsel based on adequate information and arms-length negotiation. Even assuming success on the merits of each claim, PAGA gives the court discretion to reduce penalties for a variety of reasons, including where “based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.” (Labor Code, § 2699(e)(2).) These factors make the result hard to predict. Considering counsel’s analysis, the Court finds that the recovery is fair, reasonable, and adequate.

Labor Code section 2699(k)(1) provides that a prevailing employee in a PAGA action may recover attorney’s fees. Plaintiff seeks one-third of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Although *Lafitte* concerns a class action, not a PAGA-only case, this Court views the use of a lodestar cross-check as appropriate here. Based on one-third of the recovery, plaintiff seeks \$55,666.67.

Plaintiff has conducted a lodestar cross-check. This results in a lodestar of approximately \$88,500, which yields an implied multiplier of substantially less than 1. The lodestar is based on 147.5 hours at \$600 per hour. Without necessarily endorsing every individual component of the lodestar, no adjustment is required.

The statute does not expressly address how the 25% plaintiff’s share of the penalties is to be allocated among all of the aggrieved employees. (*Iskanian v. CLS Transp. Los Angeles, LLC* (2014) 59 Cal.4th 348, 382.) One court has held, however, that the entire 25% share of penalties could not be awarded to the plaintiff. (*Moorer v. Noble L.A. Events, Inc.* (2019) 32 Cal.App.5th 736, 742-743.) In *Moorer*, the plaintiff had a claim worth about \$9,500, yet was collecting penalties of \$148,000, and keeping the entire employee share, causing the court to be concerned that the plaintiff had lost sight of the fact that the purpose of the action is to benefit the public, not private parties. Allocation based on pay periods is reasonable here.

Litigation costs of \$8,726.05 are sought. They are reasonable and are approved.

The administrator’s costs of \$2,960 are reasonable and are approved.

Although this is not a class action, representative payments are sought in the amount of \$10,000 for

the plaintiff. These payments are reviewed under the criteria discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807. The plaintiff attests to spending about 30 hours time on the case. She also attests that by filing suit, she took a risk of being stigmatized by employers. Moreover, the agreement sets forth that these are in exchange for a general release. The aggrieved employees are not releasing their individual wage claims from the alleged violations at issue, but the named plaintiff is doing so. Thus, there is value to the additional release. All things considered, the Court approves the requested payment.

D. Conclusion

The Court finds that the settlement is fair, reasonable, and adequate, and **grants the motion to approve.**

Counsel are directed to prepare an order incorporating the provisions of this ruling.

In addition, the order should include a compliance hearing for a suitable date (after the settlement has been implemented), chosen in consultation with the Department's clerk. One week before the compliance hearing, counsel shall file a compliance statement. 5% of the attorney's fees shall be withheld by the Administrator pending the compliance hearing.

2. 9:00 AM CASE NUMBER: C23-02528
CASE NAME: FLUENCE ENERGY, LLC VS. DIABLO ENERGY STORAGE, LLC
HEARING ON SUMMARY MOTION ADJUDICATION
FILED BY: FLUENCE ENERGY, LLC
TENTATIVE RULING:

Before the Court is a motion for summary adjudication filed by plaintiff Fluence Energy, LLC (also "Fluence") against defendant, Diablo Energy Storage, LLC ("Diablo"). The motion is **granted**, as discussed below.

Background

This lawsuit arises from the construction of a battery storage facility known as the Diablo Energy Storage System pursuant to the terms of an amended and restated engineering, procurement, and construction agreement dated August 4, 2020 ("EPC Contract") between the owner, Diablo, and the general contractor, Fluence. (Separate Statement of Undisputed Material Fact, hereinafter "SSUMF," Fact No. 1, and Diablo's response.)

Fluence's performance under the EPC Contract began no earlier than January 1, 2020, and started on or about June 1, 2020. (SSUMF, Fact No. 6, and Diablo's response.) Since August 2023, Fluence has not invoiced for any work performed under the EPC Contract. (SSUMF, Fact No. 7, and Diablo's response.) Since August 2023, other than warranty work for which Fluence has not sought compensation, Fluence has not performed any work under the EPC Contract. (SSUMF, Fact No. 8, and Diablo's response.)

Since January 1, 2020 through October 1, 2025, Fluence has maintained continuous commercial general liability insurance coverage. (SSUMF, Fact Nos. 9-20, and Diablo's responses.) Shortly after each renewal of the commercial general liability policy in 2020, 2021, 2022, and 2023, the Contractors' State License Board ("CSLB") sent Fluence a "Notice of License Suspension" stating that the CSLB had not yet received the updated Certificate of Liability Insurance and that Fluence's

license was suspended. (SSUMF, Fact No. 21, and Diablo's response.) Each time the CSLB received a copy of Fluence's renewed insurance certificate for the CGL Policy, it sent Fluence a "Notice of License Reinstatement" and informed Fluence that the suspension on its license was lifted. (SSUMF, Fact No. 22, and Diablo's response.)

Fluence also had continuous workers compensation insurance coverage from January 1, 2020 through the present. (SSUMF, Fact Nos. 23, 25, 27, 29, 33, 37, 39 and Diablo's responses.) The CSLB was provided with the relevant certificates of insurance. (SSUMF, Fact Nos. 24, 26, 28, 30, 34, 38, and Diablo's responses.) Twice, in November of 2022, and in October of 2023, the CSLB sent notified Fluence that its license was being suspended based on non-receipt of a Workers' Compensation Certificate of Insurance, but the suspensions were retroactively lifted once the certificates were received approximately a month later on each occasion. (SSUMF, Fact Nos. 31-32, 35-36, and Diablo's response.)

Fluence obtained a commercial general liability umbrella insurance policy through its broker Marsh from Everest National Insurance Company prior to January 1, 2020, which provided Fluence with umbrella coverage for Fluence's contracting services for the period from January 1, 2020 to January 1, 2021, and the total aggregate policy limits under the Umbrella Policy were \$10,000,000. (SSUMF, Fact No. 40, and Diablo's response.) At all times since January 1, 2020, Fluence has maintained, through annual renewals, the Umbrella Policy in the amount of at least \$10,000,000 above the CGL Policy and above the Employer's Liability included in the WC Policy and all subsequent renewals of the WC Policy. (SSUMF, Fact No. 41, and Diablo's response.)

A Certified License History from the CSLB's Custodian of Records indicates no suspensions, and suggests the license was in effect continuously, during the period from January 1, 2020 through April 17, 2025. (SSUMF, Fact No. 42, and Diablo's response.) The CSLB form for requesting a Certified License History states that the Certified License History contains "the standing of the license at all times during the period covered by the certificate" and "is admissible in court as prima facie evidence of the facts stated on the certificate." (SSUMF, Fact No. 44, and Diablo's response.) While it is undisputed that no suspensions are reflected in the license history, Diablo contends that the history omits CSLB's action in suspending Fluence's license six times for failure to timely submit certificates of insurance. (SSUMF, Fact No. 45, and Diablo's response.)

In sum, parties dispute the legal significance of the notices from the CSLB regarding license suspension for Fluence's failure to timely provide evidence of coverage to the CSLB, likening these notices to "citations" or "admonishments." (SSUMF, Fact Nos. 46-47, and Diablo's responses.)

Diablo and Fluence entered into an Energy Storage System Services Agreement dated August 17, 2020 (the "Services Agreement") pursuant to which Fluence agreed to perform repairs, maintenance, and other services on the Project in exchange for specified fees. (SSUMF, Fact No. 48, and Diablo's response.)

On October 26, 2023, Fluence filed its complaint. It later amended the complaint in March of 2024 by way of a First Amended Complaint ("FAC"), alleging four causes of action against Diablo: (1) breach of contract, (2) reasonable value of services, equipment, and materials, (3) enforcement of statutory mechanics lien release bond, and (4) breach of statutory duty. Diablo had already answered the original complaint on November 13, 2023, asserting seventeen affirmative defenses, but did not answer the amended complaint. However the parties had stipulated to the November 13, 2023 answer serving as Diablo's responsive pleading to the FAC, and Judge Treat signed an order to that effect on March 1, 2024.

Diablo also cross-complained against Fluence. Diablo's currently operative cross-complaint, the First Amended Cross-Complaint ("FAXC"), alleges breach of contract and two disgorgement causes of action against Fluence. Diablo alleges, in its second and third causes of action, that Fluence violated California's Business & Professions Code § 7031(b), which requires disgorgement against a contractor that fails to maintain a valid license at all times during the performance of a contract. Diablo alleges Fluence failed to maintain a valid license at all times during performance of both the EPC Agreement as well as the Services Agreement. Fluence has generally denied all material allegations in the FAXC.

Motion and Opposition

On July 18, 2025, Fluence filed this motion for summary adjudication, contending it is entitled to judgment on (1) Diablo's second cause of action for "Disgorgement of all compensation received under the EPC Agreement," (2) Diablo's third cause of action for "Disgorgement of all compensation received under the Services Agreement," and (3) Diablo's first affirmative defense for "Violation of Licensing Law." These issues, according to Fluence, boil down to the single question of whether its license was ever suspended in light of its continuous insured status, and in light of the only grounds for any purported suspension being the lack of insurance.

In support of the motion, Fluence submits its SSUMF, supported by a request for judicial notice, an appendix of evidence, and declarations from its counsel (Sean-Thomas P. Thompson), its Director of Insurance and Global Risk (Sarah J. Iamele), its VP of Engineering and Construction (Dauren Kilish), and its Commercial Finance Manager (Heidi Rivera).

Diablo opposes the motion, providing in support a response to the SSUMF and a declaration from its attorney, David Wallach.

Evidentiary Matters

Fluence requests judicial notice of the following documents:

- 1) The initial complaint filed on October 6, 2023 - Exhibit 1 to the Appendix of Evidence in Support of Fluence's Motion for Summary Adjudication ("AOE").
- 2) The answer by Diablo, filed on November 10, 2023 – AOE Exhibit 2.
- 3) The FAXC by Diablo, filed on June 21, 2024 - AOE Exhibit 3.
- 4) Contractors License Detail (Personnel List) for License Number 1042153, obtained on July 15, 2025 from the website of the California Department of Consumer Affairs, Contractors State License Board – AOE, Exhibit 5.
- 5) Certified Copies of File License Number 1042153, provided and certified by the California Department of Consumer Affairs, Contractors State License Board, dated June 26, 2025 – AOE Exhibit 6.
- 6) Certified License History for License Number 1042153, provided and certified by the California Department of Consumer Affairs, Contractors State License Board, dated April 17, 2025 - AOE Exhibit 7.
- 7) Contractors License Detail (Liability Insurance History) for License Number 1042153, obtained on July 15, 2025 from the website of the California Department of Consumer Affairs, Contractors State License Board – AOE Exhibit 18.
- 8) Public Complaint Disclosure Definitions, obtained on July 15, 2025 from the website of the California Department of Consumer Affairs, Contractors State License Board – AOE Exhibit 19.
- 9) Contractors License Detail (Complaint Disclosure) for License Number 867326), obtained

on July 15, 2025 from by the website of the California Department of Consumer Affairs, Contractors State License Board– AOE Exhibit 20.

- 10) Contractors License Detail (main page) for Fluence, License Number 1042153, obtained on July 15, 2025 from the website of the California Department of Consumer Affairs, Contractors State License Board- AOE Exhibit 38.

Diablo has filed a “partial opposition” to the request. Diablo argues that, to the extent the request seeks notice of the truth of statements contained in the above items 4-10, they are not judicially noticeable. Judicial notice is a substitute for formal proof. Its consequence is to establish a fact as indisputably true, eliminating the need for further proof. (See *Post v. Prati* (1979) 90 Cal.App.3d 626, 633.) Hence, the general rule dictates that a matter is subject to judicial notice only if it is reasonably beyond dispute. (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113.)

While the Court agrees with respect to the general concept that judicial notice does not establish the truth of hearsay, if otherwise the factual matters are not contested, this is not a reason to deny judicial notice, but merely to limit the effect where necessary.

The request is **granted**.

Standard

A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. (Code Civ. Proc., § 437c (f)(1).) A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (*Ibid.*) A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment. (Code Civ. Proc., § 437c (f)(2).)

For purposes of both motions for summary judgment and motions for summary adjudication, a plaintiff’s burden consists of showing that there is no defense to a cause of action, and the plaintiff meets this burden by proving each element of the cause of action. (Code Civ. Proc., § 437c (p)(1); see also *Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 239-240.) Only where plaintiff satisfies this initial burden does the burden shift to the defendant to showing a triable issue of material fact exists as the cause of action or a defense thereto. (Code Civ. Proc., § 437c (p)(1).)

Discussion

Fluence argues it maintained a valid California General Engineering Contractor’s License during the entirety of its performance of the EPC Agreement and during its performance of the Services Agreement, and therefore, Diablo’s second and third causes of action in the FAXC, as well as its first affirmative defense in its Answer, have no merit.

Pursuant to Business and Professions Code, section 7031, subdivision (d), if licensure is controverted, proof of licensure “shall be made by production of a verified certificate of licensure from the Contractors State License Board.”

Fluence, in support of its position that its license was valid for all relevant periods, offers the

“verified certificate” from the Contractors State License Board referred to in Business and Professions Code, section 7031. The certificate indicates it covers the period from January 1, 2020 through April 17, 2025 (the date on which the certification was made). The document contains no indication that the license was suspended at any point in that period. The form by which the certificate was requested appears on the fifth page of the same exhibit to the Appendix of Evidence (Exhibit 7) and states that the verified history on the certified license history form contains “the standing of the license at all times during the period covered by the certificate.” As set forth in the motion, this verified certificate creates a “rebuttable presumption” that Fluence was properly licensed and shifts the burden to Diablo to rebut the presumption. (See Cal. Evid. Code, § 602.)

Diablo’s “disputes,” as to many of the facts offered by Fluence are not supported by evidence. Many are further not material to the issues here. Diablo’s “disputes,” as to facts reflected on the verified certificate, do not cite any additional evidence and simply argue that the certificate does not support the facts for which it is offered. (See SSUMF Fact Nos. 42-44.) This is essentially an argument that Fluence fails to meet its initial burden on the motion. The Court disagrees. The certificate, which contains no statements that the license was ever suspended, is sufficient for Fluence to meet its initial burden to demonstrate licensure from January 1, 2020 through April 17, 2025.

With respect to Diablo’s burden to further demonstrate material factual disputes, Diablo points to the various letters apparently issued by the Contractors State License Board concerning purported license suspensions, as well as a purported screenshot of the Board’s website showing a suspension on November 10, 2023. (See Additional Material Fact Nos. 66-73; Wallach Decl., Ex. 4.) The evidence does not amount to a material factual dispute. These documents reflect snapshots specific to the moment in time that they were created and do not take into account any information later acquired by the CSLB.

The notices and internet screenshot, in light of the reinstatement letters, are immaterial and do not contradict the legal effect of the verified certificate. (See, e.g., AOE Ex. 6, p. 25 [Notice of License Reinstatement at page 202 of AOE pdf].) Diablo, for its part, has conceded there was no lapse in insurance coverage. Its own evidence indicates delays related to the submission of *proof* of coverage, not any actual deficiency in coverage. These delays in proof could be attributable to third parties and do not violate any particular statutory time-frame for submitting proof and therefore maintaining licensure. For example, Exhibit 5 to the Wallach Declaration suggests the CSLB took time in administrative “processing” / “updat[ing],” and that the insurance broker could have been responsible for the delay in mailing any certificate of coverage. (See Wallach Decl., Ex. 5, p. 2.)

The relevant statutory provision underlying the “notices of suspension” is Business and Professions Code, section 7071.19, which provides, in subdivision (a), that an LLC must “maintain” liability insurance. Subdivision (g) requires a licensee to submit a Certificate of Liability Insurance and requires the insurer to report the “name, license number, policy number, dates that coverage is scheduled to commence and lapse, the date and amount of any payment of claims, and cancellation date if applicable” on the licensee’s policy.

None of the requirements in Business and Professions Code, section 7071.19 mention suspension or a timeframe during which the Certificate of Liability must be submitted. Accordingly, the notices relied on by Diablo, and upon which Diablo rests its disgorgement claims, do not rebut the presumption created by the verified certificate as a matter of law.

3. 9:00 AM CASE NUMBER: C23-03011
CASE NAME: ANGEL MONTOYA VS. CITY OF RICHMOND
*HEARING ON MOTION IN RE: FILE FIRST AMENDED COMPLAINT
FILED BY: MONTOYA, ANGEL

TENTATIVE RULING:

Plaintiff moves for leave to file a First Amended Complaint. Defendant specifically does not oppose filing of the First Amended Complaint attached to the motion. **The motion is granted.** The First Amended Complaint attached to the motion is to be separately filed with the court within ten days after notice of entry of this order.

4. 9:00 AM CASE NUMBER: C24-00861
CASE NAME: NAVY FEDERAL CREDIT UNION VS. FREDERICK MERRIDA
*HEARING ON MOTION IN RE: ATTORNEY FEES AND COSTS
FILED BY: NAVY FEDERAL CREDIT UNION

TENTATIVE RULING:

Granted. The agreement contained an attorney fee provision, and the amount requested is within the schedule in Local Rule 2.40. There is no opposition.

5. 9:00 AM CASE NUMBER: C24-01376
CASE NAME: XUE XIE VS. SHENG LIN
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT
FILED BY: LIN, SHENG PING

TENTATIVE RULING:

Defendant Sheng Ping Lin's demurrer to Plaintiff Xue Fen Xie's Second Amended Complaint is **sustained without leave to amend as to the second cause of action for constructive trust. The demurrer is otherwise overruled.** Plaintiff shall prepare a proposed order consistent with this ruling and shall serve notice of entry of order.

Background

Plaintiff's Second Amended Complaint (SAC) alleges that in 2021 defendant Sheng Ping Lin told plaintiff Xue Fen Xie that if she paid the mortgage, property taxes, and utilities for the property located at 1115 Ivy Court in El Cerrito, he would add her name to the title. Plaintiff alleges that she relied on defendant's promise and paid the adjustable-rate mortgage from April 2021 through April 2024, in amounts totaling \$223,424. Plaintiff alleges that the parties' agreement was later modified to include plaintiff's payment for substantial renovations to the property, including remodeling the kitchen and improving the second floor, at a cost of \$179,564. Plaintiff alleges a further modification under which plaintiff agreed to fund the construction of an accessory dwelling unit for \$86,600. Plaintiff expended more than \$489,588 in total. Plaintiff alleges that in April 2024 defendant told plaintiff that he intended to sell the property, and when plaintiff asked him either to add her to the title or to return her money, he refused.

Based on these allegations, the complaint asserts four causes of action. The first cause of action for breach of contract alleges an oral agreement under which plaintiff would pay mortgage-related expenses and fund improvements in exchange for defendant's promise to add her to the title, and that defendant breached that agreement by refusing to do so or to reimburse her. The second cause of action for constructive trust alleges that defendant continues to hold title to the property and the

benefits of plaintiff's expenditures, and that defendant also receives rental income from the property, which should be held in constructive trust for her benefit. The third cause of action for unjust enrichment alleges that defendant received and retained benefits from plaintiff's payments and her work on the property. The fourth cause of action for declaratory relief alleges an actual controversy relating to the parties' respective rights and obligations.

Standards

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (*Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967.)

A demurrer for uncertainty CCP 430.10, subdivision (f) will only be sustained where the pleading is so unclear that the defendant cannot reasonably respond—*i.e.*, cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him/her. (*Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, "ambiguities can be clarified under modern discovery procedures." (*Ibid.*)

Meet and Confer

CCP section 430.41 requires that "[b]efore filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer." (CCP § 430.41, subd. (a).)

Defendant satisfied the statutory meet and confer requirements before filing the demurrer. (See Declaration of William C. Lynn, ¶¶ 5-10.)

Analysis

(1) Uncertainty

Defendant's demurrer to the SAC on the ground of uncertainty is overruled. The SAC is not so poorly drafted that defendant cannot reasonably respond.

(2) Breach of Contract

Defendant argues the first cause of action for breach of an oral contract arises from an oral agreement that violates the statute of frauds.

An oral agreement made "for the leasing for a longer period than one year, or for the sale of real property, or of an interest therein" is invalid absent a written and signed "note or memorandum thereof." (Civ. Code § 1624, subd. (a)(3).) "No estate or interest in real property, other than for leases for a term not exceeding one year, nor any power over or concerning it, or in any manner relating thereto, can be created, granted, assigned, surrendered, or declared, otherwise than by operation of law, or a conveyance or other instrument in writing, subscribed by the party creating, granting, assigning, surrendering, or declaring the same, or by the party's lawful agent thereunto authorized by

writing." (CCP § 1971.)

Plaintiff alleges as follows in her first cause of action for breach of oral contract:

24. In April 2021, Defendant LIN persuaded Plaintiff to enter into an oral AGREEMENT in El Cerrito, California in which Defendant asked Plaintiff to pay for the mortgage, property taxes and utilities, which later underwent modifications to include Plaintiff's agreement to subsequently rehabilitate or remodel the Property. Plaintiff paid for the mortgage, property taxes and utilities, provided remodeling and home construction services to Defendant. []

25. To further entice Plaintiff, Defendant executed multiple special powers of attorneys for Plaintiff which expired on January 2024. See Exhibits A and B.

26. Pursuant to the AGREEMENT, Defendant promised to add Plaintiff's name to the property.

27. From April 2021 until April 2024, Plaintiff has paid \$223,424.00 [toward the] mortgage.

28. In reliance of Defendant's promise, Plaintiff renovated the Property in the amount of \$179,564.00. The renovation includes remodeling the kitchen [and] improving the second floor.

29. Further, in reliance of Defendant's promise, Plaintiff added an Accessory Dwelling Unit in the backyard for the Property costing the sum of \$86,600.00.

30. In sum, in reliance of Defendant's promise, Plaintiff has expended more than \$489,588.00 into the Property.

31. Plaintiff has performed all conditions, covenants, and promises required to be performed by it in accordance with the terms and conditions of the AGREEMENT.

32. In April 2024, Defendant told Plaintiff that he intends to sell the Property. Thereafter, Plaintiff demanded that Defendant adds her name and/or return her money, but Defendant refused.

33. As set forth and alleged herein, Defendant LIN breached the AGREEMENT with Plaintiff and his duties to Plaintiff. As a result of Defendant's breach, Plaintiff has suffered actual damages in excess of \$489,588.00, including damages for uncompensated time, labor, and work it used to renovate the 1115 Ivy Court Property, plus interest at the legal rate from and after the date due according to proof.

"The doctrine of part performance by the purchaser is a well-recognized exception to the statute of frauds as applied to contracts for the sale or lease of real property. [Citation.] Under the doctrine of part performance, the oral agreement for the transfer of an interest in real property is enforced when the buyer has taken possession of the property and either makes a full or partial payment of the purchase price, or makes valuable and substantial improvements on the property, in reliance on the oral agreement. [Citation.]" (*Sutton v. Warner* (1993) 12 Cal.App.4th 415, 422 (*Sutton*)).

In reply, defendant argues that plaintiff does not allege sufficient facts to show that the exception of part performance applies because Plaintiff cannot plead that she was in possession of the property, as required by *Sutton*.

Here, the court need not decide whether the part performance exception applies on these particular facts because, "[t]he doctrine of estoppel to assert the statute of frauds has been consistently applied

by the courts of this state to prevent fraud that would result from refusal to enforce oral contracts in certain circumstances. Such fraud may inhere in the unconscionable injury that would result from denying enforcement of the contract after one party has been induced by the other seriously to change his position in reliance on the contract, or in the unjust enrichment that would result if a party who has received the benefits of the other's performance were allowed to rely upon the statute." (*Monarco v. Lo Greco* (1950) 35 Cal.2d 621, 623-624; *Smyth v. Berman* (2019) 31 Cal.App.5th 183, 198; see also *Dallman Co. v. S. Heater Co.* (1968) 262 Cal.App.2d 582, 588-89 ["An oral agreement (otherwise within the statute of frauds) will be held enforceable if the plaintiff, in justified reliance upon it, has so changed position that unconscionable injury would result, or the defendant, having accepted the benefit of the contract, would be unjustly enriched by its nonenforcement."].)

Here, the SAC alleges that plaintiff spent approximately \$489,588 to carry the property and to make renovations and permanent improvements, in reliance on an alleged agreement that she would have an ownership interest. Thus, even if the part-performance elements are disputed, the SAC adequately pleads that defendant should be estopped from asserting the statute of frauds because plaintiff would suffer unconscionable injury if the agreement was not enforced, and defendant would be unjustly enriched.

Defendant also argues the SAC is defective because it does not allege when defendant was required to add plaintiff to the title, making the agreement indefinite and unenforceable. Defendant speculates about possible performance timelines and claims that, depending on which hypothetical applies, the first cause of action is barred by the statute of frauds or the two-year statute of limitations.

The court is not persuaded by these arguments. It is true that an agreement that by its terms is not to be performed within a year from the making thereof comes within the statute of frauds. (Civ. C. § 1624(a)(1).) However, the critical words are "by its terms," that is, only those contracts which expressly preclude performance within a year fall under this provision of the statute of frauds. If it is merely unlikely that it will be so performed, or the period of performance is indefinite, the statute does not apply. That is the case here.

In addition, in a suit to enforce an oral agreement, the statute of limitations begins to run when the agreement is repudiated. (*Parker v. Walker* (1992) 5 Cal.App.4th 1173, 1190.) Plaintiff alleges that defendant repudiated the contract in April 2024 when said he intended to sell the property without reimbursing plaintiff's contributions or conveying title. (SAC ¶¶ 32-33.) Nothing on the face of the SAC shows that the statute of limitations began to run before this time.

Based on the foregoing, the court finds that plaintiff has alleged facts sufficient to constitute a cause of action for breach of contract. As such, the demurrer to the first cause of action is overruled.

(3) Constructive Trust

Defendant argues that constructive trust is a remedy, and not a standalone claim. The court agrees. (See *Glue-Fold, Inc. v. Starbucks Corp.* (2000) 82 Cal.App.4th 1018, 1023 fn. 3.) As such, the demurrer to the second cause of action is sustained without leave to amend.

While the court sustains the demurrer, it recognizes the potential availability of such relief may be tethered to one or more of the other causes of action. Thus, the court's ruling as to the constructive trust as a cause of action does not necessarily preclude such remedy being awarded as to one or more of the remaining causes of action if allowable under California law. In other words, sustaining the demurrer of the claim for constructive trust does not necessarily remove the possibility of obtaining a

constructive trust.

(4) Unjust Enrichment

As with the second cause of action, Defendant argues that the third cause of action fails because unjust enrichment is a remedy, not a standalone claim.

There is a split of authority on whether unjust enrichment is a cause of action. (See, e.g., *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793 [no cause of action for unjust enrichment]; *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 387 [same]; *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370 [same]; *Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.* (2018) 29 Cal.App.5th 230, 238 [cause of action exists]; *FDIC v. Dintino* (2008) 167 Cal.App.4th 333, 346-347 [same]; *Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1132 [same].)

Where it has been held to be a cause of action, the elements of a cause of action for unjust enrichment are simply stated as "receipt of a benefit and unjust retention of the benefit at the expense of another." (*Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.*, *supra*, 29 Cal.App.5th at 238.)

Plaintiff alleges that defendant benefitted from plaintiff's payments and improvements without placing plaintiff on title to the property, and that restitution is necessary to prevent inequitable retention of benefits. Since the caselaw recognizes unjust enrichment as a standalone claim, the court will allow Plaintiff to maintain her second cause of action.

(5) Declaratory Relief

A declaratory relief action under CCP section 1060 requires two elements: (1) a proper subject for declaratory relief; and (2) an "actual controversy involving justiciable questions relating to the right or obligations of a party." (*Lee v. Silveira* (2016) 6 Cal.App.5th 527, 546.)

Plaintiff alleges as follows in the fourth cause of action:

59. An actual controversy has arisen and now exists between Plaintiff XUE FEN XIE and Defendants and each of them, concerning their respective rights and duties to Plaintiff, and the real properties that Plaintiff expended time, money and labor for its construction services in which Defendants have benefited.

60. Plaintiff seeks a judicial determination as to Defendant's rights to reimbursement, rental benefits and profits generated from these real properties as part of their modified agreement.

61. A judicial determination of the rights and responsibilities of the parties over the real properties in question is necessary and appropriate at this time that the uncertainty over the issues of reimbursement, rental benefits, ownership interest, and profits generated from these real properties.

Defendant argues that this claim is derivative of the breach of contract cause of action and is therefore unnecessary and duplicative. Sufficient facts have been pleaded to show an actual controversy between the parties. That a cause of action is duplicative or redundant is not a ground on which a demurrer must be sustained. (See *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 890.)

6. 9:00 AM CASE NUMBER: C24-02017

CASE NAME: RAINY FISHER VS. RLW PROPERTIES, LLC

***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT**

FILED BY: FISHER, RAINY DAY

TENTATIVE RULING:

Plaintiff Rainey Day Fisher moves for preliminary approval of her class action and PAGA settlement with defendant RLW Properties, LLC.

A. Background and Settlement Terms

The original complaint was filed by Plaintiff on March 13, 2024, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. A First Amended Complaint adding PAGA claims (based on a notice to the LWDA given March 13, 2024), was filed on December 4, 2024. It remains the operative complaint.

The settlement would create a gross settlement fund of \$410,000, which would be paid in 2 equal installments. The class representative payment to plaintiff would be \$10,000. Attorney's fees would be \$136,666.67 (one-third of the settlement). Litigation costs would not exceed \$28,000. The settlement administrator's costs would be up to \$17,200. PAGA penalties would be \$10,000, resulting in a payment of \$7,500 to the LWDA and \$2,500 to the aggrieved employees. The net amount paid directly to the class members would be about \$208,133.33. The fund is non-reversionary. Based on the estimated class size of 518, the average net payment for each class member is approximately \$402.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendant during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable.

The proposed settlement provides that checks undelivered or uncashed 180 days after mailing will be voided, and the funds will be provided to the State Controller's Unclaimed Property Fund.

The settlement contains release language covering all "all claims arising out of or related to the allegations set forth in the Operative Complaint[.]" (Settlement, Par. 66.) Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal written discovery was undertaken, and a data expert was retained for mediation. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include “stacking” of violations, the law may only allow application of the “initial violation” penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where “based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.”])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal’s decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the “fair, reasonable, and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees[.]” (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks one-third of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval. Counsel are directed to prepare a lodestar fee estimate for the motion for final approval.

The reasonableness of litigation costs and the settlement administrator’s fees will be considered at final approval.

Similarly, the requested representative payment of \$10,000 for plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. Conclusion

The Court finds that the agreement is sufficiently fair, reasonable, and adequate, to justify preliminary approval, and grants the motion.

If approval is ultimately granted, counsel will be directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs’ counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney’s fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

7. 9:00 AM CASE NUMBER: C24-02437

CASE NAME: OMAR HASHIMI VS. JAMILA KOSHANI

HEARING ON DEMURRER TO: COMPLAINT

FILED BY: KOSHANI, JAMILA

TENTATIVE RULING:

Before the Court is a demurrer by defendants Jamila Koshani and Cyrus Eghbalian to the complaint. For the reasons set forth, the Court rules as follows: (a) special demurrer to complaint in its entirety for uncertainty – **sustained, with leave to amend**; and (b) general demurrers to the second through five causes of action – **sustained, with leave to amend**. Plaintiff shall file any amended complaint **by December 5, 2025**.

Background

Plaintiff Omar Hashimi alleges that he worked as a chef at the restaurant Zalla Kabob House which is the "dba" of Zalla Inc. (Compl. ¶ 9.) He alleges that defendant Jamila Koshani "made arrangements" so that Plaintiff could purchase 50% of the shares of Zalla Inc. from defendant Roya Akbar, and he attaches a "Business Bill of Sale" as Exhibit A to the complaint ("Sale Contract"), reflecting the purchase agreement. (FAC ¶ 10.) He alleges defendant Cyrus Eghbalian was a "beneficiary" of the Sale Contract and that the Sale Contract called for Eghbalian and Akbar to transfer the real property lease and wine and beer license to Plaintiff. (FAC ¶ 10.)

Plaintiff alleges he paid the \$65,000 purchase price for the shares. (Compl. ¶ 10.) Plaintiff alleges he made demand on Koshani and Akbar to transfer the shares to the corporation, on Eghbalian and Akbar to add him to the lease and liquor license and the corporate bank accounts, but they refused in breach of "their contractual obligations." (Compl. ¶ 12.) Plaintiff alleges he worked as a chef without pay and that "defendants" failed and refused to pay him his wages earned from April 7, 2024 (or April 15, 2024) to July 5, 2024. (Compl. ¶¶ 9, 15, 18, 21, 22.)

Plaintiff filed a complaint against Zalla Inc., Koshani, Akbar, and Eghbalian alleging 11 causes of action, including a number of causes of action for Labor Code wage and hour violations. Koshani and Eghbalian have filed a demurrer to the complaint, challenging the sufficiency of the allegations of the second through fifth causes of action by general demurrer, and making a special demurrer for uncertainty as to the complaint in its entirety.

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (*See also* Code Civ. Proc. § 452.) In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.) If a complaint fails to state a cause of action but there is a reasonable possibility of amendment to cure the deficiencies, then leave to amend must be granted. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 39.)

A demurrer must dispose of an entire cause of action. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.) As a general matter, demurrers for uncertainty are disfavored. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135; *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695 [" '[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend.' [Citations omitted.]"]).

Analysis

A. Special Demurrer for Uncertainty as to Complaint in Its Entirety

Demurring parties make a special demurrer for uncertainty as to the complaint as a whole under Code of Civil Procedure section 430.10(f). They argue that the complaint names four defendants and

alleges eleven causes of action, but the complaint fails to identify the defendants against whom each of the eleven causes of action are asserted. Plaintiff's opposition does not respond to these arguments.

"California Rules of Court, rule 2.112 provides that each cause of action should be headed so as to identify briefly the nature of the claim asserted and if there is more than one, it should identify the defendant or defendants against whom the cause of action is being asserted. As the leading practical treatise advises, failure to comply with rule 2.112 presumably renders a complaint subject to a motion to strike (§ 436), or a special demurrer for uncertainty. [Citation omitted.]" (*Grappo v. McMills* (2017) 11 Cal.App.5th 996, 1014 [holding default judgment improperly entered as, among other reasons, the complaint failed to comply with Rule 2.112].) (*See also* Cal. R. Ct., Rule 2.112, subpart (4).)

The Court also notes that Plaintiff has also combined the distinct causes of action of intentional misrepresentation and negligent misrepresentation under a single cause of action. (Compl. p. 6, ll. 2-21.) This combining of causes of action under a single heading also violates the letter and spirit of Rule 2.112. The causes of action should be separately stated in any amended complaint Plaintiff may file. (Cal. R. Ct., Rule 2.112, subparts (1) and (2).)

The special demurrer for uncertainty as to the complaint in its entirety is **sustained, with leave to amend**.

B. General Demurrer to Second, Third, and Fourth Causes of Action

Plaintiff alleges "second and third causes of action" under a single heading, with the subheading "Negligent and Intentional Misrepresentation," and with the same allegations supporting both causes of action. (Compl. ¶¶ 1-30.) He also alleges a separate fourth cause of action for "Fraud."

1. Legal Background and Elements of the Causes of Action

" 'The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citations omitted.]" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) (*See also Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal. App. 4th 221, 234.) "In California, fraud must be pled specifically; general and conclusory allegations do not suffice. [Citation omitted.]" (*Lazar, supra*, 12 Cal.4th at 645 [citing among others *Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 74 and stating the policy of liberal construction of pleadings does not apply].) The specificity requirement means the pleading must allege " 'how, when, where, to whom, and by what means the representations were tendered.' [Citation, italics, and some internal quotation marks omitted.]" (*Lazar, supra*, 12 Cal.4th at 645, quoting *Stansfield, supra*, 220 Cal. App. 3d at 73.)

" 'Promissory fraud' is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. [Citation omitted.]" (*Id.* at 638.) "To maintain an action for deceit based on a false promise, one must specifically allege and prove, among other things, that the promisor did not intend to perform at the time he or she made the promise and that it was intended to deceive or induce the promisee to do or not do a particular

thing. [Citations omitted.]" (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 159 [emphasis added].) Proof of subsequent nonperformance is not sufficient to support an inference of intent not to perform at the time the contract was made to state a claim for false promise. (*Tenzer v. Superscope* (1985) 39 Cal.3d 18, 30-31.)

The elements of a claim for negligent misrepresentation are similar to intentional misrepresentation but that claim "does not require intent to defraud but only the assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true. [Citation omitted.]" (*Conroy v. Regents of University of California* (2009) 45 Cal.4th 1244, 1255 [citing *Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173-174].)

2. Application to Plaintiff's Allegations

Plaintiff alleges that he entered into the agreement to buy 50% of the shares of Zalla Inc. from Akbar, that he paid the \$65,000 consideration for the shares, but the shares were not transferred to him, and that he was neither added to the lease nor was escrow opened to transfer the beer and wine license to him "as promised." (Compl. ¶ 27.) These allegations describe a breach of the Sale Contract.

As relevant to the demurring defendants, Plaintiff alleges Koshani orally represented to him that the 50% shares held by Akbar would be sold to him, and that the representations regarding the sale were "negligent" and made with the intention to induce Plaintiff to pay the purchase price. (Compl. ¶¶ 27, 28.) He then alleges it was negligent of Akbar (the other contracting party) to make the representations because Koshani and Eghbalian would never transfer the shares or the corporate assets, and that Akbar knew the representations were untruthful. (Compl. ¶¶ 28, 29.) In the fraud cause of action, Plaintiff alleges Akbar, Koshani, and Eghbalian "refused to transfer the shares" which was a "fraud" on Plaintiff to "procure" his \$65,000 and his labor. (Compl. ¶ 32.)

Demurring parties argue that the claim that the shares were not transferred is contradicted by the Sale Contract which provides Akbar "hereby sell[s], transfer[s], and convey[s]" specified business assets, including the shares. (Compl. Exh. A [emphasis added].) The Sale Contract is ambiguous, however, based on the second paragraph of typewritten text. The text refers to the lease being transferred from the previous owners and the beer and wine license transferred, with the transfer "taking affect from 4/15/2024" based on the transfer of those other assets, which Plaintiff alleges never occurred. The Court cannot say as a matter of law the shares were transferred. Further, Plaintiff specifically alleges the remainder of the business assets were not transferred despite contrary representations, such that the demurring parties' interpretation of the Sale Contract even if accepted would not fully dispose of the causes of action and claimed breaches and injury asserted by Plaintiff.

The Court, however, agrees with the demurring parties that the second through fourth causes of action are not pled with the specificity required to plead negligent or intentional misrepresentation or fraud. Plaintiff does not allege specifically who made what representation(s) to him that he contends was false, when each such representation was made by each defendant, and the manner in which each such representation was made to him. Plaintiff's opposition to the demurrer does not contend otherwise and cites no allegations of the complaint that satisfy the specificity requirement.

Further, to state claims for fraud and intentional misrepresentation, Plaintiff has to allege that the person who allegedly made the misrepresentation knew when the person made the representation that the representation was false or untrue and that the person made the representation with the

intent to induce Plaintiff to rely on the representation. As presently pled, it is not clear who Plaintiff contends made what false representations that the person knew were false when made. (Compl. ¶¶ 27-29.)

Plaintiff also alleges that Koshani and Eghbalian refused to transfer the shares in Zalla Inc. to him (Compl. ¶ 32), but it is not clear what role Koshani or Eghbalian had in transferring the shares, since Plaintiff alleges that he purchased shares from Akbar. If the shares were owned by Akbar, Plaintiff does not allege facts explaining how Koshani or Eghbalian could transfer or refuse to transfer the shares of another shareholder. There are no allegations as to how they could or did control the transfer of shares owned by another shareholder (Akbar).

To the extent that Plaintiff's claims of negligent and intentional misrepresentation and fraud are based on a claim of false promise made without intention to perform, the complaint also fails to allege facts to show that the defendants made promises to him which they did not intend to perform at the time they made the promises. (*Tarmann, supra*, 2 Cal.App.4th at 159; *Tenzer, supra*, 39 Cal.3d at 30-31.) Plaintiff alleges that Akbar and Koshani orally represented Akbar would sell her "interest" in Zalla Inc. but then alleges only that Akbar knew the representation was false or that Akbar made the representation negligently. (Compl. ¶¶ 27-29.)

Plaintiff may be able to allege additional facts to state these claims against the demurring defendants and to allege the elements with specificity as required. The general demurrers to the second through fourth causes of action are **sustained, with leave to amend**.

C. General Demurrer to Fifth Cause of Action for Civil Conspiracy

1. Legal Background and Elements

" 'Conspiracy' " itself is not a cause of action; conspiracy allegations are typically made in order to assert liability against an actor who did not participate in the underlying wrongful conduct alleged to have been committed by another defendant. [Citations omitted.]" (*American Master Lease LLC v. Idanta Partners, Ltd.* (2014) 225 Cal.App.4th 1451, 1473.) "[A] plaintiff must plead '(1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design.' [Citation omitted.]" (*Daniels, supra*, 246 Cal.App.4th at.) "To establish conspiracy, a plaintiff must allege that the defendant had knowledge of and agreed to both the objective and the course of action that resulted in the injury, that there was a wrongful act committed pursuant to that agreement, and that there was resulting damage. [Citation omitted.]" (*IIG Wireless, Inc. v. Yi* (2018) 22 Cal.App.5th 630, 652].)

2. Application to Plaintiff's Allegations

The predicate torts on which Plaintiff's civil conspiracy claim is founded are the second through fourth causes of action for negligent and intentional misrepresentation and fraud, the allegations of which are incorporated into the conspiracy cause of action. Having sustained demurrers to those causes of action as defective for the reasons stated above, the civil conspiracy claim also fails. (*Stansfield, supra*, 220 Cal.App.3d at 75-76.) This is sufficient to warrant sustaining the general demurrer to the fifth cause of action.

The civil conspiracy claim as pled also fails because Plaintiff has not alleged that Koshani and Eghbalian had knowledge of and agreed to the formation of a scheme to defraud Plaintiff out of his

\$65,000 payment and his labor, based on their knowledge of the intention of one or more of the defendants to make a false promise or misrepresentation that there would be a transfer of Akbar's shares and part ownership of the business assets. Plaintiff makes a general allegation that the defendants "were acting in concert with each other," but he does not allege that these defendants knew of the scheme to defraud and intended to aid in its commission.

The general demurrer to the fifth cause of action is **sustained, with leave to amend**.

8. 9:00 AM CASE NUMBER: C24-03076
CASE NAME: DEJA JONES VS. JOHN MUIR HEALTH
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: JOHN MUIR HEALTH

TENTATIVE RULING:

Continued by stipulation of the parties to December 11, 2025, 9:00 a.m.

9. 9:00 AM CASE NUMBER: C24-03076
CASE NAME: DEJA JONES VS. JOHN MUIR HEALTH
***HEARING ON MOTION IN RE: STRIKE FIRST AMENDED COMPLAINT**
FILED BY: JOHN MUIR HEALTH

TENTATIVE RULING:

Continued by stipulation of the parties to December 11, 2025, 9:00 a.m.

10. 9:00 AM CASE NUMBER: C25-01466
CASE NAME: SANTO SANTOMAURO VS. LONE TREE ESTATES OWNERS' ASSOCIATION
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: NEUMILLER & BEARDSLEE

TENTATIVE RULING:

Defendants Neumiller & Beardslee and NB Association Services demur to plaintiff Santo Santomauro's complaint for wrongful foreclosure and other causes of action. They argue that complaint fails as to Neumiller & Beardslee because it does not assert any cause of action against them, and fails as to NB Association Services because it alleges no actionable conduct by it.

Plaintiff has filed no opposition. Proof of service is in the file, including a notice of demurrer that sets forth the hearing date and time.

The demurrer is sustained, with leave to amend.

11. 9:00 AM CASE NUMBER: C25-01466
CASE NAME: SANTO SANTOMAURO VS. LONE TREE ESTATES OWNERS' ASSOCIATION
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: LONE TREE ESTATES OWNERS' ASSOCIATION

TENTATIVE RULING:

Defendant Lone Tree Estates demurs to plaintiff Santo Santomauro's complaint for wrongful foreclosure and other causes of action. Lone Tree argues that the complaint fails because the foreclosure here was a judicial foreclosure, in which his arguments were considered and rejected.

Plaintiff has filed no opposition. Proof of service is in the file, including a notice of demurrer that sets forth the hearing date and time.

On October 23, 2025, the Court continued the demurrer on the ground that Lone Tree Estates had not provided any evidence that it contacted plaintiff in order to meet and confer about the demurrer as required by Code of Civil Procedure section 430.41(a). Counsel for Lone Tree Estates complied, but plaintiff did not respond. Accordingly, the demurring party has complied so far as is possible.

Based on the arguments submitted by demurring party, the **demurrer is sustained, with leave to amend.**

12. 9:00 AM CASE NUMBER: MSC18-01132

CASE NAME: SCHWENDEMAN VS. TRAVEL STAFF

***HEARING ON MOTION IN RE: COMPLIANCE HEARNIG SET BY THE COURTROOM**

FILED BY:

TENTATIVE RULING:

Based on the declaration of the Settlement Administrator, the settlement has been largely implemented, but the uncashed distributed paychecks will not be voided until March 10, 2026. **A further compliance hearing is set for March 26, 2026, 9:00 a.m. Plaintiff is to provide a declaration one week before the hearing updating the implementation.** The 5% of the attorney's fees currently held by the settlement administrator shall continue to be withheld pending further court order at the compliance hearing.

13. 9:00 AM CASE NUMBER: MSC20-02497

CASE NAME: HOPE, ET AL. VS TAYLOR MORRISON OF CA

HEARING IN RE: MOTION FOR TERMINATING SANCTIONS OR, IN THE ALT, EVIDENCE PRECLUSION AT TRIAL FILED BY DEFT/XCOMP TAYLOR MORRISON

FILED BY:

TENTATIVE RULING:

Five-Year Statutory Deadline for Trial

As a threshold matter, to the extent that compliance with the five-year statute is an issue, during the time period of March 23, 2021 to November 15, 2023, the running of the time period was tolled. (C.C.P. § 583.40(b).) Taylor Morrison argues that the stay was required by plaintiffs' failure to satisfy the pre-litigation requirements of Civil Code section 895, and was not a complete stay of the action, because alternative discovery was proceeding. It relies on *Bruns v. E-Commerce Exchange Inc.* (2011) 51 Cal.4th 717, which states that the section applies only to "complete stays that suspend all proceedings in the action." The Order granting the stipulated stay, however, states that "The *entirety of this action* shall be stayed upon execution of the Order by the Court[.]" It further provides that if resolution is not reached "the stay on this litigation shall be lifted by the Court, upon the written request of either Plaintiffs or Defendant, and Plaintiffs *shall then have the right to proceed* with this action[.]" (Stipulated Order of March 23, 2021, Par. 4 [emphasis added].) For purposes of Code of Civil Procedure section 583.40(b), engaging in the Civil Code section 895 "pre-litigation" process did not render the stay anything less than a complete or full stay.

In the Courts' view, however, this is not the primary issue, because non-compliance is not based slowly on pushing discovery up to the time of trial, it is based on overall failure to comply with discovery obligations under the PTO.

Failure of Plaintiffs to Meet Discovery Deadlines

"PMQ" Depositions

Plaintiffs argue that there was no obligation to produce a witness for a "PMQ" deposition, because defendant did not serve a deposition notice. There was, however, a PTO in place, which by virtue of its procedures apparently dispensed with service of a deposition notice. (Nor does it appear that plaintiffs ever raised this contention until this motion was filed.) The PTO is a discovery order, entered by the Court. Violations of the PTO can be addressed through the overall sanctions section, for overall misuse of discovery. i.e., Code of Civil Procedure section 2023.010.) It applies separately and apart from the sanction provisions that apply to particular discovery methods. (*City of Los Angeles v. PricewaterhouseCoopers, LLP* (2024) 17 Cal.5th 46, 72-74.)

(Strictly speaking, the "PMQ" deposition part of the discovery act does not apply here. Under Code of Civil Procedure 2025.230(a), the production of "those of its officers, directors, managing agents, employees or agents who are most qualified to testify on its' behalf as to those matters to the extent of any information known or reasonably available to the deponent" applies only where "*the deponent named is not a natural person.*" Nonetheless, the parties have operated under a PTO that provided that persons would be made available for "the depositions of each Plaintiff designated as the representative for a particular property." (PTO #1, Par. 17A.) Thus, the PMQ process was modified to apply here.)

General Failure to Comply with Deadlines in the PTOs

PTO #1 was entered on September 6, 2023, without objection. It set deadlines running into Spring of 2025, some of which were not met. When PTO #2 was adopted (on March 25, 2025), the Special Master made a note to incorporate Taylor Morrison's objection to the continuance of any deadlines that had already passed or that were scheduled in relation to then-scheduled August 11, 2025 trial date. The Special Master stated that doing so "would effectively be an evidentiary, if not terminating, sanction," and left that to the Court. After a further conference call with Special Master, plaintiffs were given another extension. Plaintiffs dismissed claims of two homeowners who failed to comply with new deadlines. PTO #3 was entered by the Court on June 24, 2025, based on a continued trial date of December 1, 2025. "PMQ" depositions for homeowners were to take place by September 12, 2025.

Much of the debate concerns one expert, Todd Page. Without parsing the details, it appears that the deposition may have taken place on November 13, but it took this motion to procure his testimony.

Standards for Terminating Sanctions

A terminating sanction requires, at a minimum, that there be a prior order that has been disobeyed,

and an opportunity to be heard. (*J.W. v. Watchtower Bible & Tract Society of New York, Inc.* (2018) 29 Cal.App.5th 1142, 1166-1171.) The Court also must consider whether the party's actions were willful, the detriment to the party seeking discovery, and the number of formal and informal unsuccessful attempts to obtain discovery. (*Moofly Prods. LLC v. Favila* (2020) 46 Cal.App.5th 1, 10-12.)

Where a party seeks an issue sanction, particularly "sweeping evidentiary conclusions that were at the heart of [plaintiff's] theory of [defendant's] liability," the Court must consider lesser sanctions. (*Rutledge v. Hewlett-Packard Co.* (2015) 238 Cal.App.4th 1164, 1194. See also *Lopez v. Watchtower Bible & Tract society of New York, Inc.* (2016) 246 Cal.App.4th 566, 604.)

Conclusion

Taylor Morrison has not made full use of the Special Master's or the Court's authority to take intermediate steps to secure timely discovery compliance. Eventually, Taylor Morrison did ask for evidentiary sanctions, which the Special Master properly found would be akin to a terminating sanction, which ought to be entered by the trial judge. But the issue should be addressed by beginning with an order to compel compliance, graduating to monetary sanctions, and then imposing deadlines with the specific threat of evidentiary or terminating sanctions. In considering the prejudice to Taylor Morrison of plaintiff's failure to comply, it appears that there is more frustration than actual prejudice. As to willfulness, it appears that plaintiffs have at the very least failed to take discovery deadlines seriously. All factors considered, however, to enter a terminating sanction as the first sanction would not be appropriate.

In the alternative, Taylor Morrison seeks an order "precluding Plaintiffs from testifying at trial, and a further order precluding Plaintiffs from calling Todd Page as a witness at trial." Precluding plaintiffs from testifying would not even be tied to the foot-dragging in question. Precluding Mr. Page as a witness apparently would be severe, although neither party has provided in this record the nature and importance of his testimony. It appears that his testimony would be essential.

It does not appear that Taylor Morrison has earlier requested monetary sanctions, nor does it request them in this motion.

The motion is denied.

14. 9:00 AM CASE NUMBER: MSC21-00624

CASE NAME: COLEMAN VS YDESIGN GROUP, LLC

HEARING IN RE: COMPLIANCE

FILED BY:

TENTATIVE RULING:

Continued by stipulation and order to December 4, 2025, 9:00 a.m.

15. 9:00 AM CASE NUMBER: MSC21-01344

CASE NAME: GONZALEZ VS AMTRUST NORTH AMERICA, ET AL.

***HEARING ON MOTION IN RE: FINAL APPROVAL SET BY THE COURTROOM**

FILED BY:

TENTATIVE RULING:

Plaintiff Rosana Gonzalez moves for final approval of her class action settlement with defendants AmTrust Financial Services, Inc., and AmTrust North America, Inc. The action alleges various Labor Code wage & hour violations. The action does not include a claim under PAGA.

The Court previously heard this matter on March 13, 2025, and concluded that that a supplemental declaration was necessary to establish (1) case-specific evaluation of the strengths and weaknesses of the case; (2) that the possible invocation of the “escalator clause” will not be unfair to employees whose compensable time will be reduced or eliminated by its terms; and (3) that CASA of Contra Costa County meets the criteria of Code of Civil Procedure section 384.

Counsel for plaintiff filed a supplemental declaration responding to the Court’s request. The declaration sets forth a detailed analysis of the strengths of the case, including quantitative estimates of the value of the claims. As to the escalator clause, it explains the function and value of the clause. As to the cy pres issues, the record now addresses the requirements of Code of Civil Procedure section 384. Accordingly, on May 1, 2025, the Court granted preliminary approval.

A. Background and Settlement Terms

The original complaint was filed on June 30, 2021, raising class action claims on behalf of non-exempt employees, alleging that defendants violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation.

The settlement would create a gross settlement fund of \$2,500,000. The class representative payment to the plaintiffs would be up to \$12,000. Attorney’s fees would be up to \$875,000 (35% of the settlement). Litigation costs would not exceed \$20,000. The settlement administrator’s costs (Phoenix Class Action Administration Solutions) would not exceed \$13,000. The net amount paid directly to the class members would be about \$1,580,000. The fund is non-reversionary. Based on the estimated class size of 760 individuals, the average net payment for each class member is approximately \$2,079.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendants in California during the class period, which is June 30, 2017 through June 8, 2023.

The agreement also includes an escalator clause, under which if the number of workweeks exceed 72,000 by more than 5%, defendant may either increase the payments or shorten the Class Period to reduce the claims that must be paid. The provision involves something of a tradeoff—it may result in payments increasing, or it may result in some claims being excluded from the settlement. If the claims period is reduced, those claims removed from the settlement are no longer released from further claims by employees. The Court still has some qualms about whether, as a practical matter, anyone likely will be able to pursue such “unreleased” claims. Nonetheless, at least in this case, the Court does not view it as a barrier to approval.

The class members will not be required to file a claim. Class members may object or opt out of the settlement.

Various prescribed follow-up steps were prescribed to be taken with respect to mail that is returned as undeliverable. Since preliminary approval, the settlement administrator mailed notice to

the 766 individuals comprising the class. No notices were returned as undeliverable, thus no follow-up was necessary. No notices of objection and no requests for exclusion were received by the deadline.

Checks undelivered or uncashed 180 days after mailing will be voided, and will be paid to tendered to the CASA of Contra Costa County. Pursuant to Code of Civil Procedure section 384, counsel attests that CASA of Contra Costa County is a nonprofit organization that provides services in Juvenile Court in this county. The supplemental declaration of counsel now describes the activities of the organization in sufficient detail to establish that it is a “child advocacy program” within the meaning of the code provision. Pursuant to Code of Civil Procedure section 382.4, counsel attests that that there is no connection between Casa of Contra Costa County and counsel that could create the appearance of impropriety.

The settlement contains release language covering “all claims stated under state, federal, or local law...alleged in the operative complaint or which could have been alleged based on the factual allegations in the operative Complaint[.]” Under recent appellate authority, the limitation to those claims with the “same factual predicate” as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 [“A court cannot release claims that are outside the scope of the allegations of the complaint.” “Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint’ is impermissible.” (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal and formal written discovery was undertaken, and counsel had the information evaluated by outside experts. The matter settled after arms-length negotiations, which included a session with an experienced mediator. As part of the preliminary approval process, plaintiff provided sufficient analysis of the potential value of the cases, and the risks of proceeding.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC, supra*, 69 Cal.App.5th 521.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks 35% of the total settlement amount as fees (\$875,000), relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award was not considered at preliminary approval, but only as part of final approval. Counsel submits an estimate that 375.40 hours of attorney time were spent on the case, and applies a blended rate of \$850 per hour, for a total lodestar fee of \$319,090. This results in an imputed multiplier of 2.3. Even this assumes that the blended hourly rate of \$850 is reasonable. For a blended rate, it appears to be somewhat high. Thus, some form of adjustment is appropriate. The Court notes that the percentage of the fund base here is 35%, rather than the more typical one-third. Under the circumstances of this case, one-third is a reasonable figure. Accordingly, the Court reduces the fee to one-third of the gross settlement fund, i.e. \$833,333.33. The difference shall be part of the Net Settlement Fund.

Litigation costs of \$17,132.99 are reasonable and are approved.

Settlement administration costs of \$12,000 are reasonable and are approved.

Similarly, litigation costs and the requested representative payment of \$12,000 for plaintiff will be reviewed under criteria discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807. Ms. Gonzales attests that she has spent roughly 14 hours working on the case, which is less than typical in this type of case. The overall size of the recovery is relatively large. Ms. Gonzales gave a general release broader than that of the class, although she does not indicate that she gave up any claims of actual value. Considering all of these factors, the Court reduces the representative payment to \$10,000. The difference shall be part of the Net Settlement Fund.

D. Conclusion

Based on the entire record, with the changes to the attorney fee and the representative payment, the Court finds that the settlement is fair, reasonable, and adequate. The **motion for final approval is granted.**

Counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs’ counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney’s fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court including amendment of the judgment to reflect the funds paid to the cy pres recipient pursuant to Code of Civil Procedure section 384.

16. 9:00 AM CASE NUMBER: MSC21-01549
CASE NAME: HALATOA VS DIABLO COUNTRY CLUB
*HEARING ON MOTION IN RE: PRELIMINARY APPROVAL AND PAGA SETTLEMENT

FILED BY:

TENTATIVE RULING:

Plaintiff Harmesh Bangar moves for preliminary approval of their class action and PAGA settlement with defendant Diablo Country Club.

The matter initially was heard on November 6, 2025 and continued to November 20, 2025 for submission of a declaration meeting the requirements of Code of Civil Procedure section 382.4. The declaration has been submitted, and the Court now rules as follows.

A. Background and Settlement Terms

The original complaint was filed by Plaintiff Sunia Halatoa on July 26, 2021, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. Halatoa filed a separate complaint under PAGA on September 20, 2021. That is the operative complaint. Sunia Halatoa passed away while the litigation was pending, and Harmesh Bangar was substituted in as a plaintiff.

The settlement would create a gross settlement fund of \$840,000. The class representative payment to plaintiff would be \$7,500. Attorney's fees would be \$280,000 (one-third of the settlement). Litigation costs would not exceed \$20,000. The settlement administrator's costs are estimated not to exceed \$10,500. PAGA penalties would be \$125,000, resulting in a payment of \$93,750 to the LWDA and \$31,250 to the aggrieved employees. The net amount paid directly to the class members would be about \$397,000. The fund is non-reversionary. Based on the estimated class size of 753, the average net payment for each class member is approximately \$527.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendant during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable.

The proposed settlement provides that checks undelivered or uncashed 180 days after mailing will be voided, and would be paid to California Rural Legal Assistance, Inc. (Settlement, Par. 5.4.) The settlement recites that "[t]he parties and their counsel do not have any interests or involvement within the governance or work of the Proposed Cy Pres Recipient." Under Code of Civil Procedure section 382.4, counsel must "in connection with the hearing for preliminary approval pursuant to subdivision (c) of Rule 3.769 of the California Rules of Court, notify the court if the attorney has a connection to or a relationship with a nonparty recipient of the distribution that could reasonably create the appearance or impropriety[.]" As directed at the previous hearing, counsel has now

provided a declaration attesting to the required facts is necessary.

In addition, the cy pres recipient must be qualified under Code of Civil Procedure section 384(b), which requires that cy pres funds be provided “to nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent[.]” California Rural Legal Assistance meets the requirements of a recipient of cy pres funds.

The settlement contains release language covering all “causes of action and factual or legal theories that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint[.]” (Settlement, Par. 1.36.) Under recent appellate authority, the limitation to those claims with the “same factual predicate” as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 [“A court cannot release claims that are outside the scope of the allegations of the complaint.” “Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint’ is impermissible.” (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal and formal written discovery was undertaken. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include “stacking” of violations, the law may only allow application of the “initial violation” penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where “based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.”])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees[.]" (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks one-third of the total settlement amount as fees, relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval.

The reasonableness of litigation costs and the settlement administrator's fees will be considered at final approval.

Similarly, the requested representative payment of \$7,500 for each plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. Conclusion

As supplemented, the Court finds that the agreement is sufficiently fair, reasonable, and adequate, to justify preliminary approval. **The motion is granted.**

Counsel are directed to prepare an order reflecting this tentative ruling, the other findings in the

previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

17. 9:00 AM CASE NUMBER: MSC21-01751
CASE NAME: JOSE BELTRAN VS. MONUMENT CONSTRUCTION INC
HEARING IN RE: COMPLIANCE HEARING SET BY THE COURTROOM
FILED BY:

TENTATIVE RULING:

Based on the declaration of the Settlement Administrator, the settlement has been largely implemented, but the uncashed distributed paychecks will not be voided until May 7, 2026. **A further compliance hearing is set for May 21, 2026, 9:00 a.m. Plaintiff is to provide a declaration one week before the hearing updating the implementation.** The 5% of the attorney's fees currently held by the settlement administrator shall continue to be withheld pending further court order at the compliance hearing.

18. 9:00 AM CASE NUMBER: MSC22-00286
CASE NAME: EQUITY FIRST PROPERTY VS FIVE HILLS
HEARING ON DEMURRER TO: FIRST AMENDED CROSS COMPLAINT FILED BY: EQUITY FIRST
PROPERTY MANAGEMENT A CALIFORNIA CORPORATION
FILED BY:

TENTATIVE RULING:

Before the Court is a demurrer by plaintiffs and cross-defendants Equity First Property Management dba Equity First Real Property and Management and Shops at Fairview to the first amended cross-complaint. For the reasons set forth, the general demurrers to the first and second causes of action are **sustained, with leave to amend**. Cross-complainant shall file any amended cross-complaint **by December 5, 2025**.

Background

This action arises out of business disputes over defendant and cross-complainant Five Hills, L.P.'s ownership of a commercial property located in a shopping center known as The Shops at Fairview which is managed by Equity First Property Management. Equity First and Shops at Fairview sued Five Hills for amounts they claim are owed for repair and maintenance costs included in the Five Hills share of the common area expenses. Five Hills filed a first amended cross-complaint ("FACC") against Equity First and Shops at Fairview, alleging four causes of action against Equity First and Shops at Fairview for fraud, abuse of process, accounting, and declaratory relief.

Standards Governing Ruling on Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the FACC, but not " 'contentions, deductions or conclusions of fact or law.' " (*Blank v. Kirwan* (1985) 39

Cal.3d 311, 318.) The Court gives the FACC "a reasonable interpretation, reading it as a whole and its parts in their context." (*Blank v. Kirwan, supra*, 39 Cal.3d at 318.) The allegations of the FACC "must be liberally construed" in Cross-Complainants' favor. (Code Civ. Proc. § 452; *Garton v. Title Ins. & Trust Co.* (1980) 106 Cal.App.3d 365, 376 ["The test on demurrer is not whether the allegations are likely to be proven but whether the allegations preclude liability, and the allegations must be construed liberally in favor of the pleader," citing *Skopp v. Weaver* (1976) 16 Cal.3d 432].) A demurrer can only be sustained if it disposes of an entire cause of action, not if only part of the cause of action is deficient. (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683 [holding trial court erred in sustaining demurrer to a portion of malpractice and breach of contract causes of action]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119.)

Generally, a complaint is sufficient if it pleads "ultimate" facts. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.' [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.) If a complaint fails to state a cause of action but there is a reasonable possibility of amendment to cure the deficiencies, then leave to amend must be granted. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 39.)

Compliance with Meet and Confer Requirement

On October 24, 2025, moving parties filed a declaration of counsel attesting that the parties conducted a telephone conference in accordance with the meet and confer requirement of Code of Civil Procedure section 430.41(a) and the Court's October 15, 2025 tentative ruling. The requirement has been satisfied, and the Court now rules on the merits of the demurrer.

Analysis

Cross-defendants filed a general demurrer challenging the first cause of action for fraud and second cause of action for abuse of process for failure to allege facts sufficient to state these causes of action and failure to plead all elements of the causes of action. They also assert that the abuse of process cause of action is barred by the litigation privilege.

A. Demurrer to First Cause of Action (Fraud)

" 'The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citations omitted.]" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) (*See also Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal. App. 4th 221, 234.) "In California, fraud must be pled specifically; general and conclusory allegations do not suffice. [Citation omitted.]" (*Lazar, supra*, 12 Cal.4th at 645 [citing among others *Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 74 and stating the policy of liberal construction of pleadings does not apply to a fraud claim].) The specificity requirement means the pleading must allege " 'how, when, where, to whom, and by what means the representations were tendered.' [Citation, italics, and some internal quotation marks omitted.]" (*Lazar, supra*, 12 Cal.4th at 645.)

The specificity requirement when alleging a claim for fraud against a corporation also requires more

than generic allegations of fraud against the corporate entity. "A plaintiff's burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must 'allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.' " (*Lazar, supra*, 12 Cal.4th at 645.) Cross-defendants contend the first cause of action does not allege the elements of fraud with specificity.

1. Five Hills' Allegations

Five Hills alleges after Shops at Fairview acquired the shopping center, it engaged Equity First as its property manager. (FACC ¶ 2.) Five Hills alleges cross-defendants "substantially and inexplicably" increased the repair and maintenance costs at the shopping center beginning in 2020. (FACC ¶ 4.) Cross-defendants billed Five Hills for common area expenses which Five Hills disputed and for which cross-defendants failed to provide a sufficient accounting. (FACC ¶ 5.) The obligation of the property owners to pay their proportionate share of common area expenses is reflected in the Reciprocal Easement Agreement and Declaration of Covenants, Conditions and Restrictions dated August 31, 2006 ("REA") on which Five Hills relies and alleges is attached as Exhibit A to the First Amended Complaint filed by Equity First and Shops at Fairview. (FACC ¶ 17.)

Five Hills alleges repair and maintenance fees were \$30,987.19 in 2019 (supposedly reflected in an Exhibit A to the FACC, but no exhibit is attached), and that repair and maintenance fees substantially increased in 2020 through 2023, ranging from \$53,346.34 to \$68,632.04 reflected in accountings attached as Exhibit B to the first amended complaint by Equity First and Shops at Fairview. (FACC ¶¶ 19, 20.) Five Hills requested an accounting under section 5.2 of the REA; cross-defendants failed to respond or comply. (FACC ¶¶ 24, 29.)

Five Hills alleges Equity First represented it incurred repair and maintenance costs for 2020 through 2023 in the range set forth above. (FACC ¶ 20, 33.) Five Hills alleges Equity First "misrepresented" the repair and maintenance expenses were reasonable and necessary and "concealed" that the costs were paid to "contractor(s) owned by or associated with the Shops at Fairview." (FACC ¶ 35.) Five Hills alleges Equity First made the misrepresentations the expenses were reasonable and necessary "with intent" for Five Hills to pay the expenses "without learning they were unnecessary and excessive" and paid to contractors associated with Shops at Fairview. (FACC ¶ 36.) Five Hills alleges it relied on the representations and made common area expense payments which included unnecessary and excessive repair and maintenance expenses. (FACC ¶ 37.)

2. Deficiencies in Five Hills' Allegations

Five Hills does not allege when it requested an "accounting," from whom, and in what manner. Five Hills does not allege who, how, and in what manner Equity First "concealed" that the contractors were associated with Shops at Fairview, that Equity First intentionally concealed the fact contractors were associated with Shops at Fairview with intent to defraud Five Hills, and despite Equity First having a duty to disclose the association to Five Hills.

Five Hills also does not allege when, how, to whom, and in what manner First Equity represented that the repair and maintenance costs were "necessary" or "reasonable." If Five Hills contends the delivery of the annual reconciliations was the representation in that regard, that fact should be specifically alleged. Five Hills does not allege that Equity First made the alleged misrepresentation with

knowledge of the alleged falsity of the representation the expenses were reasonable and necessary, and with intent to defraud Five Hills. The allegation that Equity First intended that Five Hills pay the expenses is not the same as an allegation that Equity First intended to defraud Five Hills.

Five Hills has also not alleged that it justifiably relied on the alleged representation of reasonableness and necessity of the expenses, particularly in light of Five Hills' other allegations that (a) Five Hills demanded accountings because of the substantial increases in the repair and maintenance expenses; (b) Five Hills did not pay all the amounts claimed to be due by Equity First in the reconciliations; and (c) Five Hills alleges that it was being "punished" by Equity First for complaining about the excessive expenses and demanding accountings when it was sued for the unpaid amounts Equity First claimed were due. (FACC ¶¶ 24, 29, 30.) These deficiencies warrant sustaining the general demurrer to the first cause of action for failure to allege facts sufficient to state this cause of action.

3. Economic Loss Rule

Defendants also raise the economic loss rule, as explained in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1. The issue as framed in *Rattagan* and the decisions on which *Rattagan* relied is: under what circumstances can a party to a contract seek tort recovery against the other party to the agreement for claims arising out of the subject matter of the contract? The Court in *Rattagan* explained that the economic loss rule is a "specific application" of the "independent tort principle" doctrine differentiating between contract and tort obligations, which it describes in exhaustive detail. (*Rattagan, supra*, 17 Cal.5th at 37.)

The Court explained, "[T]ort recovery for breach of a contract duty is generally barred . . . unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed." (*Id.* at 20-21 [emphasis added].)

The Court in *Rattagan* explains that tort and contract obligations differ. "The 'independent tort principle,' and its specific application in our economic loss rule cases, honors those differences. . . . A tort remedy arises, not based on an agreement between the parties, but because the defendant has violated a societal duty that the law itself imposes on everyone. A tortfeasor is held liable not for violating a contract, but for violating an independent legal duty. [¶] [T]o be held liable in tort, a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties' contract, depriving the plaintiff of the benefits the contract ensures, the defendant's liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (*Id.* at 37.) *Rattagan* and *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979 held claims grounded in intentional misrepresentation or fraudulent concealment were not barred by the economic loss rule, to the extent the fraud or concealment violates an independent legal duty and is not based solely on a breach of the contract terms. (*Rattagan, supra*, 17 Cal.5th at 30-38 [explaining the *Robinson* decision] and 42-45 [holding economic loss rule does not bar claim for fraudulent concealment, not just claim for fraud based on affirmative misrepresentations].)

It is not clear whether the fraud or concealment alleged in the FACC is independent of, or anything

more than, a violation of contractual obligations under the REA. Given the other deficiencies in the FACC to state a claim for fraud or fraudulent concealment, the Court declines to rule on the alternative ground for the demurrer based on the economic loss rule at this point.

The demurrer to the first cause of action is **sustained, with leave to amend**. Leave to amend this cause of action includes leave to re-allege the claim in an amended complaint as a cause of action for breach of contract if Five Hills elects to do so. (*See* Opp. Section V.)

B. Demurrer to Second Cause of Action (Abuse of Process)

The essential elements of a claim for abuse of process are: " 'first, an ulterior purpose, and second, a wilful [sic] act in the use of process not proper in the regular conduct of the proceeding.' " (Defendants cite *Templeton Feed & Grain v. Ralston Purina Co.* (1968) 69 Cal.2d 461, 465-466 [some internal quotation marks omitted].) (*See also Rusheen v. Cohen* (2006) 37 Cal.4th 1048, 1057 ["To succeed in an action for abuse of process, a litigant must establish that the defendant (1) contemplated an ulterior motive in using the process, and (2) committed a willful act in the use of the process not proper in the regular conduct of the proceedings. [Citation omitted.]").) For the first element, the ulterior purpose " '*usually takes the form of coercion to obtain a collateral advantage, not properly involved in the proceeding itself, such as the surrender of property or the payment of money, by the use of process as a threat or a club.*' " (*Id.* [italics in opinion, some internal quotation marks omitted].) The second element requires " '*an act or threat not authorized by the process, or aimed at an objective not legitimate in the use of the process.*' " (*Id.* at 466.) For purposes of the second element, carrying out the process to its authorized conclusion, even with bad intentions, does not support liability. (*Id.*)

1. Cross-Complainant's Allegations

Relevant to the abuse of process claim, Five Hills alleges Equity First did not serve Five Hills with the complaint for unpaid common area expenses at its proper location for notice under the REA but instead at the Dollar Tree located at the property owned by Five Hills. (FACC ¶¶ 7, 10, 25.) Equity First obtained a default judgment against Five Hills, and the amount of damages in the default judgment of \$33,696.54 exceeded the amounts owed as of December 1, 2021 (\$19,976.54) and as of the end of 2023 (\$24,411.93). (FACC ¶¶ 8, 9, 26, 27, 39, 40.) Equity First levied on the judgment and holds in trust the \$33,696.54 from the levy of the Five Hills bank account, which is more than the \$24,411.93 allegedly owed Equity First. (FACC ¶¶ 28, 41, 42.) Equity First "intentionally" used the default judgment and garnished the bank account for excess amounts above the amount owed "to punish Five Hills" for its complaints about the repair and maintenance expenses and demand for an accounting. (FACC ¶ 42.)

2. Economic Loss Rule

To the extent cross-defendants argue the economic loss rule bars the abuse of process claim, the Court is not persuaded. The abuse of process claim Five Hills contends it is attempting to allege would meet the independent tort principles doctrine described in *Rattagan* as discussed above. To the extent Five Hills' abuse of process claim is based on service of the complaint at a location different from that required by the REA, that aspect of the claim arguably alleges only a violation of a duty under the REA, not an independent tort duty. Five Hills, however, argues in the opposition that the abuse of process claim is based on cross-defendants' detention of garnished funds after the default

judgment in the main action was vacated, contentions are not based on a violation of a contractual duty under the REA. (See Opp. p. 8, ll. 6-13, discussed further below.)

3. Litigation Privilege

Whether or not the FACC states facts sufficient to support the elements of abuse of process is a close case here. Nevertheless, as set forth below, even if facts supporting the elements are alleged, the claim as alleged in the FACC fits the claims barred by the litigation privilege of Civil Code section 47(b) as construed by the Court in *Rusheen*.

Five Hills in the opposition cites *Rusheen*, in which the Court addressed the litigation privilege and its application to the abuse of process claim alleged in that case in the context of an anti-SLAPP motion. The Court explained, "The '[p]leadings and process in a case are generally viewed as privileged communications.' [Citation omitted.] The privilege has been applied specifically in the context of abuse of process claims alleging the filing of false or perjurious testimony or declarations. [Citations omitted.]" (*Id.* at 1058 [emphasis added].) The plaintiff alleged the defendant filed a perjurious declaration of service to obtain a default judgment and then executed on the default judgment.

The Court in *Rusheen* concluded, "On close analysis, the gravamen of the action was not the levying act, but the procurement of the judgment based on the use of allegedly perjured declarations of service. Because these declarations were communications '(1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action' [citation omitted], the litigation privilege applies to the declarations and protects against torts arising from the privileged declarations. [Citation omitted.] Moreover, as Cohen argues, since a party may not be liable for submitting false testimony or evidence in the course of judicial proceedings which are used to obtain a judgment, the party should likewise be immune from abuse of process claims for subsequent acts necessary to enforce it. Otherwise, application of the litigation privilege would be thwarted. Thus, where the gravamen of the complaint is a privileged communication (i.e., allegedly perjured declarations of service) the privilege extends to necessarily related noncommunicative acts (i.e., act of levying)." (*Id.* at 1062.) The Court held the litigation privileged precluded plaintiff from asserting the abuse of process claim in that case.

Five Hills essentially concedes that cross-defendants are protected from liability for the events alleged through cross-defendants' levying the funds from the Five Hills bank account to satisfy the default judgment under the litigation privilege and the *Rusheen* decision. (Opp. p. 8, ll. 6-13.) Five Hills, however, argues that Equity First engaged in conduct "after its privileged communications to the court" that support the abuse of process claim, essentially because Equity First vacated the default judgment but continued to retain the levied funds, including funds that exceeded the amount Equity First allegedly admitted was owed. (Opp. p. 8, ll. 6-13.)

This argument shifts the basis of the abuse of process claim to acts by cross-defendants and events after the default judgment was vacated, which is not what is alleged in the FACC. There is no allegation in the FACC that the default judgment was vacated. The specific allegations supporting the second cause of action are based on Equity First's garnishing Five Hills' bank account and wrongfully "obtain[ing]" the default judgment. (FACC ¶¶ 40-42.) A fair reading of the FACC is not that the basis of the abuse of process claim is Equity First's retention of some or all of the levied funds after the

default judgment was vacated in order to "punish" Five Hills for its complaints about the amount of the maintenance and repairs, which is what Five Hills now contends apparently in light of the litigation privilege and the holding in *Rusheen*.

The Court interprets Five Hills' opposition as an explanation of what it may be able to allege to state an abuse of process cause of action if given leave to amend. The Court **sustains** the general demurrer to the second cause of action, **with leave to amend**.

**Law & Motion
Add On**

19. 9:00 AM CASE NUMBER: N25-1850

CASE NAME: ADEL PARK, LLC VS. ANGRY GROUP, LLC

JUDGMENT

FILED BY: ANGRY GROUP, LLC

TENTATIVE RULING:

This matter is set for hearing on Defendant's motion for summary judgment Under California Rules of Court, rule 3.1351(b), a party may oppose the motion orally at the hearing or by filing and serving a written opposition at least one court day before the hearing. Because any written opposition is not due until the day before the hearing, the court cannot issue a tentative ruling in advance. **All parties are therefore required to appear, either in person or by Zoom.**

If a written opposition is filed, the court requests that a courtesy copy be emailed to the department in advance of the hearing, if practicable, with a copy to all opposing parties or their counsel. The email should indicate that the court has authorized this courtesy copy for this matter.